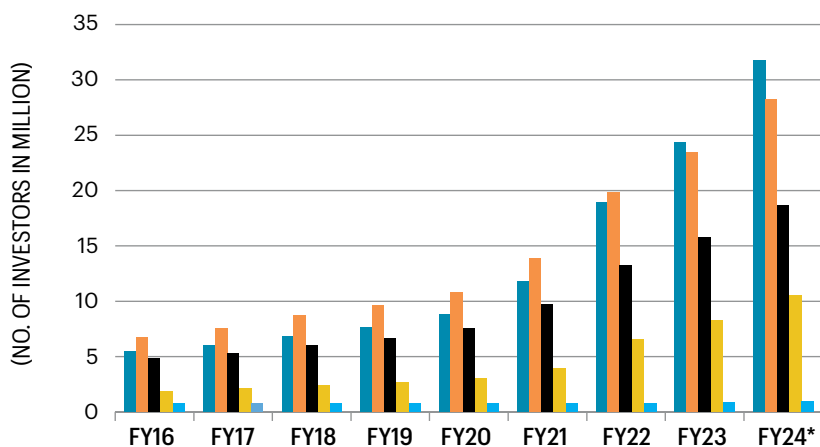


ALL INDIA PRESENCE

● North India continues to have the highest number of registered investors at nearly 32 million

● The total registered investor base rose from 80 million to 90 million in just five months



● NORTH ● WEST ● SOUTH ● EAST ● OTHERS

NOTE OTHERS INCLUDE ARMY PERSONNEL AND INVESTORS FOR WHOM STATE MAPPING IS UNAVAILABLE, *DATA AS OF FEBRUARY 2024

SOURCE NSE

SIPs with March registering a net inflow of ₹19,271 crore—the second consecutive month of net inflows of over ₹19,000 crore.

In FY24, nearly ₹2 lakh crore came to the stock markets through SIP flows, a growth from the ₹1.56 lakh crore in FY23. “This suggests that awareness and participation in equity investments are not as limited as direct participation figures might imply. However, it also highlights the importance of continuing to develop and promote financial products that can bridge the gap between potential investors and the markets, making investment more inclusive and reflective of the entire country’s potential,” says Khoday.

Putting it in a similar context, Vijayakumar says that the real test of participation in equity investing is not the trading volume, but the growth of the assets under management (AUM) of the mutual

fund industry, particularly of SIPs. “Monthly SIPs touched ₹19,187 crore in February this year and is on a steady uptrend. This is the healthiest part of equity investment in India now. Of course, a lot more has to be done to promote it in the rural areas across states,” he says.

BRIDGING THE GAP

Market participants believe that intermediaries need to adopt a more localised approach to enhance the penetration level.

“This includes developing platforms and educational materials that are accessible and relevant to people in different linguistic and cultural contexts. Moreover, there should be an emphasis on creating partnerships with local communities and institutions to foster trust and awareness. By leveraging technology to offer tailored financial education and services, and by en-

suring that people in underserved areas have the tools and knowledge to participate, we can truly democratise access to investment opportunities,” says Khoday.

Incidentally, Sebi data shows that FY23 saw a total of 283 investor awareness programmes organised by investor associations and 883 more programmes were conducted by the so-called Securities Market Trainers or SMARTs, who are spread across 22 states and union territories covering 102 districts. Sebi had launched the SMART programme in 2020 with a view to enhancing investor education and awareness.

Meanwhile, Vijayakumar believes that while financial literacy has improved, some initiatives that were doing a good job of getting investors from Tier II, III or IV towns have been discontinued. “Some initiatives like the B30 scheme were good. But Sebi stopped it when they found that it was misused by distributors,” says Vijayakumar.

The way ahead seems to be by focussing on enhancing the digital infrastructure and ensuring that tools encouraging equity investment culture are made available across the hinterland of the country while at the same time focussing on financial literacy programmes. “Programmes should aim to simplify investing for a wider audience, making it more approachable and understandable. Overcoming these barriers is essential for tapping into the untapped potential of under-represented regions,” says Khoday.

Progress has been made in universalising investor reach but there is much ground yet to be covered. With the right focus, tools, and strategy, the Indian capital market can ensure that it is the broadest and deepest in terms of retail investor participation. **BT**

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